

The Indian Outlook

India's Markets During Geopolitical Disruption, Policy Tailwinds & Valuation Reset

The noise is pretty loud: A war in the Middle East, Oil at \$100–110, Rupee touching 93.9 and FIIs exiting at a pace not seen in years. Nifty 50 has declined over 14% from its Jan'26 peak of 26,373. And yet, underneath all of this, India's macro picture looks better today than it did during any prior market correction of the last few years. This outlook report cuts through the headline turbulence and examines where the market cycle actually stands, what history says to expect in the next 12-18 months and which sectors are poised to do well.

I. The World Right Now

On Feb 28, 2026, the US and Israel launched coordinated strikes on Iran, targeting nuclear facilities and resulting in the elimination of Iran's Supreme Leader. The market reaction was immediate: Brent crude surged to over \$100/bbl and global risk appetite compressed sharply. Closer to home, Nifty lost over 2,600 points since the start of the war. But there is a difference between a bad environment and a broken one. India's environment is difficult right now but not broken.

The Three Transmission Channels

CRUDE

India imports over 80% of its crude requirements. Brent is at \$100-110/bbl, up approximately 70% year-to-date. Every \$10 move widens India's Current Account Deficit by 0.4-0.5% of GDP and clips ~20-25 bps from growth. This is a headwind, not structural damage.

CURRENCY

The INR has crossed Rs. 93.5/\$. India enters this episode with forex reserves of \$709.76 billion as of March 13, 2026 (8.7 months of import cover), despite the RBI drawing down \$11.68 billion in the week ending March 6 defending the currency. The RBI has the ammunition to manage orderly depreciation without a disorderly break.

FUND FLOWS

FIIs have withdrawn over ₹85,000 crore from Indian equities in March 2026. DIIs have absorbed a significant portion of these flows, helping stabilize the market. On March 23, FIIs recorded net sales of ₹10,400 crore, while DIIs were net buyers to the tune of ₹12,000 crore. While the pace of FII selling is elevated and warrants attention, the impact has been mitigated by consistent DII participation.

What makes this episode stand out is the timing. Crude, currency, and capital flows have all been hit at once, which is rare. In the past, this kind of combination has hurt sentiment sharply, but it has also marked some of the best entry points.

II. Indian Macro

Strip out oil and rupee, and India's domestic picture looks unusually clean. GDP came in at 7.6% for FY26, with Q3 printing at 7.8%. Gross NPAs hit a 20-year low of 2.1% as of September 2025. The RBI cut rates by 125 bps across 2025, injected ₹10 trillion in liquidity (\$5B in January, \$10B in February, \$5B in December). A tax reform that added Rs 35,000-50,000 in annual disposable income to middle-class households. GST 2.0 cutting rates on two-wheelers, entry-level cars, ACs, and essential FMCG categories from 28% to 18%. These are concrete policy actions with real transmission effects.

FY26 GDP	REPO RATE	CPI INFLATION	GROSS NPA
7.6%	5.25%	3.21%	2.1%
<i>MoSPI new series; Q3 at 7.8%</i>	<i>Held Feb 2026 MPC 125 bps cut in CY2025</i>	<i>Feb 2026 official; up from 2.75% Jan</i>	<i>Sep 2025, RBI FSR. 20-year low</i>

Monetary Transmission, In the Lag Window

The RBI's 2025 easing cycle was unusually aggressive: 125 bps in a single year plus ₹10 trillion of liquidity injection. In its February 2026 MPC meeting, the RBI held rates at 5.25%, a pause rather than a reversal, with neutral stance retained. Monetary policy works with a 3-4 quarter lag. We are now squarely in that window. With CPI rising from 2.75% in January to 3.21% in February on crude pass-through, Nomura projects a rate hold through end-2026 unless oil retreats materially.

Fiscal & Consumption

India's fiscal deficit is tracking to 4.4% of GDP for FY26, down from pandemic highs of 9.2%. Capex remains elevated at 3.4% of GDP in H1 FY26. The income tax reform (zero tax up to ₹12 lakh under the new regime) has added meaningful disposable income at the segment most sensitive to consumer spending. J.P. Morgan estimates consumption's contribution to GDP will climb to 4.4% by end-2026.

The Banking System

Gross NPAs at 2.1% (September 2025) reflect a full credit cycle clean-up, now at a 20-year low. Tier-1 capital at 14-16%, well above minimums. Credit-to-deposit ratios near 82% leave room for expansion. Mitsubishi UFJ's \$4.4 billion investment in Shriram Finance and SMBC's \$1.6 billion in YES Bank reflect meaningful external confidence in the system's health.

The One Watch Item: Crude & CAD

India's current account deficit widened to 2.8% of GDP in Q4 CY2025. With Brent in the \$100-110 per barrel range, representing an increase of roughly 70% year-to-date, the deficit is expected to deteriorate further in Q1 CY2026. The U.S. EIA base case projects crude prices to fall below \$80 by Q3 2026, while Goldman Sachs expects prices to move into the \$70's by Q4. However, both projections remain contingent on a de-escalation of geopolitical tensions, particularly the progress and outcome of negotiations between the United States and Iran, which continue to exhibit significant uncertainty. Markets are likely to reprice in anticipation of these developments well before their impact is reflected in realized data.

III.

Market Valuations

Price always leads fundamentals, in both directions. Markets overshoot on optimism and overshoot on pessimism. The useful question is not why the market is falling, but where price stands relative to intrinsic value and what the historical record says about returns from that starting point.

Valuation Snapshot, March 24, 2026

NIFTY 50: CURRENT VALUATION METRICS

Metric	Current (Mar 23, 2026)	Historical Reference	Read
Nifty 50 Level	22,512	52-week range: 21,743-26,373	Down ~14.7% from January 2026 peak of 26,373
TTM P/E (normalized)	19.56x	Long-run average: 23.43x	Labour-code adjusted PE baseline 16.6% below long-run avg
FY27 Forward P/E	17.46x	Historical trough: 17-18x	12% EPS growth on adjusted base, At historical bottoming range
Price-to-Book	3.14x	Historical avg: ~3.5x	Below average, scope to re-rate on earnings recovery

Broader Market: All Indices Below Historical Averages

P/E COMPARISON ACROSS MAJOR INDICES

Nifty 50	1-Year 22.1x Avg P/E	2-Year 22.2x Avg P/E	5-Year 22.98x Avg P/E	→ Current 19.56x Current P/E
Nifty Midcap 150	1-Year 33.6x Avg P/E	2-Year 36.8x Avg P/E	5-Year 31.8x Avg P/E	→ Current 29x Current P/E
Nifty Smallcap 250	1-Year 30.2x Avg P/E	2-Year 30.4x Avg P/E	5-Year 27.7x Avg P/E	→ Current 23.4x Current P/E

All three major indices are currently trading below their 1-year, 2-year, and 5-year P/E averages simultaneously. Nifty 50 is the most dislocated: 12% below its 1-year average and 15% below its 5-year average on a normalized basis. Midcap and Smallcap indices have corrected sharply in absolute terms over the past 17-18 months (median stock drawdown of 36-37%), and current valuations reflect that damage.

The PE Zone Framework: Where Returns Are Made

NIFTY 50 VALUATION ZONES AND TYPICAL FORWARD RETURNS

Valuation Zone	Nifty P/E Range	Market Phase	Typical Forward 12M Returns
Overvalued	Above 24–25x	Market Peak	Low / Negative: excess optimism, limited upside
Fair Value	20–24x	Transition Phase	Moderate: mixed sentiment, consolidation
Undervalued	Below 20x	Near Bottom	High: 11%–38%: fear, pessimism, best accumulation zone

ACTUAL HISTORICAL RETURNS WHEN NIFTY P/E WAS BELOW 20X

Year	Nifty P/E Zone	Next 12M Return	Trough-to-Peak Return
2012	Below 20x	11%	28%
2013	Below 20x	36%	40%
2016	Below 20x	13%	26%
2020	Below 20x	38%	19%
2022	Below 20x	22%	22%
2026 (current)	19.56x (normalized) — Near Bottom Zone	TBD	TBD

Every prior episode where the Nifty normalized P/E dropped below 20x produced positive 12-month forward returns, ranging from 11% in the most muted case (2012) to 38% in the strongest (2020). The current normalized P/E of 19.56x places the market at the boundary of the opportunity zone. On a forward earnings basis at 17.46x, it is already inside it.

The Cycle Stage, Where We Are

Our read: India is in the late-correction / early-recovery phase. The markers are present:

- Valuations have mean-reverted from the 2024 peak (PE touched 23–24x) to 19.56x, 16.6% below the long-run average of 23.43x
- Earnings reaccelerating, FY26 at 9-10%; FY27 consensus at 12-14%, with upside if crude normalizes
- Rate cycle turned supportive 12 months ago, 3-4 quarter transmission lag puts full impact in H2 FY26
- SIP inflows at ₹29,845 crore (Feb 2026) and ₹31,002 crore (Jan 2026). MF industry AUM at a record ₹82 lakh crore
- Unprecedented DII absorption of ₹85,000 crore of FII selling in a single month, index held without major structural damage
- India's premium vs EM peers compressing, making India relatively more attractive for global allocators again

Every Shock Has Created an Entry

INDIA & GEOPOLITICAL EVENTS: SENSEX RESPONSE AND THE NEXT 3-YEAR RETURNS

Event	Period	Immediate Impact	Max Drawdown	Recovery	3-Yr Return
9/11 Terror Attacks	Sep 2001	-9%	-11%	~3 months	+88%
Operation Parakram	Dec 2001–Oct 2002	-15%	-17%	~6 months	+96%
Iraq War Begins	Mar 2003	-4%	-5%	~3 weeks	+228%
26/11 Mumbai Attacks	Nov 2008	-6%	-8%	~3 weeks	+89%
Pulwama & Balakot Strikes	Feb 2019	-1.5%	-3%	~2 weeks	+59%
Russia-Ukraine War	Feb 2022	-9%	-12%	~2 months	+30%
US-Iran Conflict	Mar 2026	-5.5%	In progress	TBD	TBD

The pattern holds without exception. Every geopolitical shock has produced negative near-term returns and positive 3-year returns for investors who stayed the course. The median 3-year return across all completed episodes is +68%. The foundation today, 7.6% GDP, 2.1% GNPA, \$709.76 billion in forex reserves, 125 bps of monetary easing in the system, and a DII base absorbing foreign exits at scale, is the strongest it has been across any episode in this list.

When Nifty Stagnated for 18 Months: What the Next 3 Year Returns Delivered

HISTORICAL 18-MONTH STAGNATION PERIODS & SUBSEQUENT RETURNS

Start Date	End Date	18M Return	Next 12M Return	Next 36M Return
31-Oct-01	31-Mar-03	0.65%	81%	248%
31-Jan-07	30-Jun-08	-1.03%	6%	40%
30-Apr-08	30-Sep-09	-1.59%	19%	12%
28-Feb-11	31-Jul-12	-1.95%	10%	63%
30-Apr-11	30-Sep-12	-0.80%	1%	39%
31-May-11	31-Oct-12	1.07%	12%	44%
31-Dec-14	31-May-16	-1.48%	18%	46%
30-Jun-15	30-Nov-16	-1.72%	24%	47%
30-Sep-21	28-Feb-23	-1.78%	27%	48%
31-Oct-21	31-Mar-23	-1.76%	29%	47%

Across 10 historical episodes where the Nifty delivered near-zero returns over an 18-month window, the subsequent 12 and 36 month returns were positive in all cases, with a median of 19% and 47%, respectively. India has now been in the same stagnation-to-correction phase since September 2024.

The FII/DII structural shift is the most important regime change in Indian markets in a decade. Ten years ago, a single-session FII exit of ₹10,000 crore would have cratered the market by 3–5%. Today, it barely moves the close. SIP culture has created a permanent bid. Foreign exits now create volatility, not collapse.

The Morgan Stanley Bear Case

Morgan Stanley downgraded India from **'overweight'** to **'equal weight'** in early March 2026. The rationale, laid out by Chief Asia EM Strategist Jonathan Garner, rests on three arguments:

1. India carries the third-highest oil and gas import sensitivity relative to GDP within Morgan Stanley's Asian coverage
2. Unlike China and Japan, India holds limited strategic commodity reserves to buffer against supply disruption
3. Despite 18 months of correction and sustained EM underperformance, India still trades at a valuation premium to the rest of Asia.

Morgan Stanley's scenario framework frames the current environment in three oil price outcomes: a base case at \$90-100 per barrel; an adverse scenario at \$120-130 alongside major flow disruptions through the Straits, which would imply a further 15-20% downside for Asian equities from already-depressed levels; and a positive scenario at \$60-70 per barrel with supply flows resuming, offering approximately 10% upside.

IV.

Avalon Investments View

We think the Indian equity market is at or near a cyclical trough. Not because the external backdrop is benign, it clearly is not. But because the conditions that historically define a bottom are present across every dimension we track.

VALUATION	At 19.56x normalized trailing earnings, the market is 16.6% below its long-run average of 23.43x. On a FY27 forward basis, it is at 17.46x. Every prior episode at this PE level, with GDP above 7%, has produced strongly positive 3-year returns.
FUNDAMENTALS	GDP at 7.6% (FY26A), GNPA at 2.1%, RBI with 125 bps already cut and rates on hold, fiscal deficit declining, forex reserves at \$709.76 billion, and a trade deal removing a major uncertainty overhang.
EARNINGS	FY27 consensus at 12-14%, recovering from a FY26 base of 9-10%. EIA and Goldman project crude normalization by Q3–Q4 2026, which drives margin recovery and earnings upgrades. When upgrades come, they arrive fast and markets reprice faster.
HISTORY	There is not a single instance in the past 30 years where buying Indian equities at this PE level, with GDP above 7%, produced a negative 3-year return.

On the Morgan Stanley Downgrade

Morgan Stanley's downgrade deserves a direct response, not a dismissal. The oil sensitivity argument is real, India imports approximately 85% of its crude requirements and at \$100-110 per barrel, the current account, fiscal math, and inflationary pressure are all under strain.

Where our analysis diverges: the valuation premium argument does not hold when measured against India's own history rather than regional peers. At 19.56x normalized trailing earnings, the market is 16.6% below its own long-run average of 23.43x, and at 17.46x on a forward basis, it is in the historical accumulation zone. The 18 months of correction that Morgan Stanley cites as insufficient repricing is precisely the mechanism that has produced this entry point.

The structural DII architecture, Rs 82 lakh crore in MF AUM, Rs 30,000+ crore in monthly SIP flows, and an absorption of Rs 85,000 crore of FII selling in a single month is a change that foreign-allocation models built around FII behaviour have not fully priced in.

Finally, Morgan Stanley's own positive scenario, Brent at \$60-70 per barrel with supply flows resuming, offers 10% upside. Given that EIA and Goldman both project crude moderation by Q3-Q4 2026, that positive scenario is not a tail. It is the base case for patient allocators.

V. Sectors Worth Watching

The sectors below are themes where the combination of policy backdrop, cycle positioning, ground-level data, and current valuations makes the 12–18 month setup worth tracking. Each carries its own risk, but the current market weakness has created entry points that did not exist six months ago.

1. Banking, Financials & the MFI Recovery

Clean balance sheets. Rate cycle working. Credit recovery building.

Indian private banks are trading at price-to-book ratios that in prior cycles would have been clear accumulation signals. GNPA at 2.1% (September 2025) is a 20-year low, reflecting a full credit cycle clean-up. Tier-1 capital at 14-16%, well above minimums. Credit-to-deposit ratios near 82% leave room for expansion. The NIM compression narrative (rate cuts squeeze margins) is real but overstated. Volume expansion at 11-15% credit growth in FY27 more than offsets what is lost on spread.

Within this, Microfinance is an interesting rate-of-change sub-theme. After two years of acute stress (overleveraging, elevated PAR, deteriorating collections), Q3 FY26 data is showing a material turn. Credit Access Grameen and Northern Arc have both reported meaningfully improved collection efficiency. MFIN confirmed in late February 2026 that the sector is past the stress peak, with fresh disbursements performing at 4.5% PAR. The government's CGSMFI-2.0 credit guarantee scheme will facilitate ₹20,000 crore in fresh MFI lending. Mitsubishi UFJ's \$4.4 billion in Shriram Finance and SMBC's \$1.6 billion in YES Bank reflect external validation of the sector's health.

1. NPA cycle is fully clean. The system enters this growth phase from strength, not stress
 2. MFI recovery at inflection, Q3FY26 is the evidence quarter; Q4 and Q1FY27 will confirm longevity
 3. Rate hold (5.25%) is a manageable environment for banks, volume growth compensates for NIM stability
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2. Aerospace & Defence

Record order books. Geopolitical tailwinds. Indigenisation mandate intact.

India's defence allocation for FY26 stands at ₹6.81 lakh crore, with analysts projecting a 10-20% increase for FY27. Capital allocation is expected to reach ₹2.1-2.3 lakh crore. For listed defence companies, 2026 is the year where the enormous order backlogs of the last two years begin converting to revenue and cash flow.

BEL carries an order book of ₹73,015 crore as of Q3FY26, roughly 3.0x its FY25 revenue, giving clear 3-year revenue visibility. HAL's order book stands at approximately ₹2.5 lakh crore as of Q3 FY26, spanning LCA Tejas, helicopter programs, and growing MRO income. India's ₹50,000 crore defence export target by FY29 adds an incremental revenue stream. The correction in defence stocks, many down 20-35% from 2024 peaks, has reset valuations from genuinely frothy to ones that better reflect execution realities.

1. Order books are sufficient enough to support the next 3 years of revenue. Demand isn't a question, execution is.
2. Geopolitical escalation strengthens India's self-sufficiency argument. The budget tailwind is now structural, not cyclical
3. Export revenue is beginning to contribute meaningfully. ₹50,000 crore target by FY29 adds durability

3. Specialty Chemicals

China involution moderating. EU/UK FTA tailwinds. Pricing floor forming.

Specialty chemicals is a sector where on-the-ground reality is starting to diverge from the dominant bear narrative. The bear case has been well-known: Chinese producers dumping subsidized product, overcapacity compressing realizations, and Indian companies losing market share. That narrative was accurate through most of 2024 and into H1 FY26. Q3 FY26 data is showing early inflection signs, not a confirmed recovery, but a meaningful change in direction.

Aarti Industries' Q3 FY26 concall cited reduced Chinese subsidy flows and early pricing stabilization, with Aarti posting two consecutive positive surprises. Styrenix is reporting better realizations from January, and Neogen Chemicals is largely through its capex cycle, positioned for operating leverage. The India-UK FTA (July 2025) removed tariffs on 99% of Indian chemical exports. Budget 2026 added three dedicated chemical manufacturing parks and Centres of Excellence, providing policy-led tailwinds alongside the pricing recovery.

1. This is a rate-of-change play. The turn is early, which means reward ahead but execution risk still intact
2. China subsidy reduction needs 2-3 more quarters to confirm the pricing floor is durable
3. EU FTA in negotiation could be the next meaningful unlock for Indian chemical exports into Europe

4. Pharmaceuticals & Healthcare

CDMO cycle turning. Capex commissioning. Domestic demand structural.

The tariff overhang that dominated pharma sentiment through 2025 is now resolved: the US-India trade deal sets India's export tariff at 18%, below China (34%) and Vietnam (20%), with 85-90% of shipments being generic medicines effectively exempted. India supplies over 40% of all US generic imports, with no credible substitute at scale. Domestically, GST on medicines cut to 5% and Ayushman Bharat expansion sustain demand. Torrent Pharmas acquisition of JB Chemicals and the Suven-Cohance merger (targeting \$1 billion via ADC, oligonucleotide, and small molecule platforms) signals long-run sectoral conviction.

India's CDMO market (\$8.5 billion, 13% CAGR) is in a commissioning cycle with direct margin implications.

Laurus Labs CDMO revenues grew 50%+ in 9M FY26 and EBITDA margins expanded 11pp to 26% in Q2 as new assets ramped, the Rs 1,000 crore capex p.a. in FY26-27 covers peptide manufacturing, ADC labs, and a Vizag fermentation facility.

Divis Laboratories raised FY26 capex to Rs 2,000 crore backing three long-term customer-contracted projects, with its GLP-1 peptide now live.

1. CDMO margins expand when utilization rises on fixed capex; Laurus is the leading example, others are 6-12 months behind in the same cycle
2. Divi's, Piramal, and Syngene are each commissioning capacity that will drive revenue and asset turnover improvement in FY27-28
3. Cohance Lifesciences signals a consolidation phase: full-service ADC-plus-small molecule CDMO platforms are becoming the competitive unit, not single-capability manufacturers

05. Power Transmission & Green Infrastructure

Rs 7.9 lakh crore 10-year plan. 50 GW stranded. Switchgear the silent backbone.

India crossed 51.5% renewable installed capacity in November 2025 (262.74 GW), but the problem is evacuation, not generation: over 50 GW of capacity is stranded because the grid cannot absorb it. In FY25, only 8,830 ckm of transmission lines were commissioned against a 15,253 ckm target, a 42% shortfall, while renewable additions ran at 44.51 GW. The CEA's 10-year plan (Rs 7.9 lakh crore through FY36) encompasses 1.4 lakh circuit km of new lines and 8.3 lakh MVA of new substation capacity; Budget 2026 allocated Rs 600 crore to the Green Energy Corridor for 6,000 km of intra-state lines.

Switchgear is the embedded, often overlooked beneficiary of this buildout. India's switchgear market (\$8.42 billion, 7%+ CAGR) grows alongside every substation, evacuation corridor, metro line, and data centre being built. Gas-insulated switchgear (GIS) is the mandatory technology for high-voltage substations, requiring 90% less footprint than conventional alternatives.

The manufacturer response has been coordinated: CG Power announced a Rs 748 crore dedicated plant doubling MV and EHV capacity within 33 months. Schneider Electric announced an \$800 million medium-voltage facility in Tamil Nadu. Siemens invested \$37 million in Goa in April 2025. ABB previously doubled GIS capacity at Nashik. The entire Rs 7.9 lakh crore mandate flows through switchgear at every node.

1. The bottleneck is transmission, not generation. That is where Rs 7.9 lakh crore goes; transformers, cables, EPC, and switchgear companies share multi-year order visibility
 2. GIS switchgear is the compulsory embedded component of every new high-voltage substation, four major manufacturers investing simultaneously signals the size of the opportunity
 3. Sovereign backed financing through PGCIL, PFC, and REC provides demand certainty unusual for most capital goods themes
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VI.**How to Navigate from Here**

The biggest mistake investors make in corrections is treating volatility as a verdict. It is not. Volatility is a price, and in periods of stress, that price is often disconnected from value. The discipline is knowing the difference and acting on it when most others cannot.

Operating Principles for This Phase

1. Do not sell into panic. Exiting at 19.56x PE, with GDP at 7.6% and banks at a 20-year low GNPA of 2.1%, is a decision the data says you will regret within 18 months. History has no exception to this rule.
2. Build in stages, not in one move. Use VIX spikes and any further weakness to accumulate. The discomfort of buying into a falling market is the signal, not a warning to stop.
3. Oil is the single most important variable right now. A \$10 fall in Brent crude is worth more to Indian markets than almost any domestic policy announcement. Watch Middle East de-escalation signals closely.
4. Stay within your circle of competence. The sectors above are data backed and well understood. Chasing narrative themes at the edge of your knowledge adds risk without adding expected return.
5. Track earnings revisions, not just prices. Markets re-rate before revisions come through, that is always the sequence. When FY27 estimates start getting upgraded, the index will already have moved.

Discipline over prediction, Accumulation over timing.

These are the conditions that have historically preceded the strongest returns from Indian equities.
